him the opportunity to buy more shares at bargain prices. The same is true for a company that is in the midst of a share repurchase program. "When Berkshire buys stock in a company that is repurchasing shares, we hope for two events: First, we have the normal hope that earnings of the business will increase at a good clip for a long time to come; and second, we also hope that the stock *underperforms* in the market for a long time as well." As Buffett explains, IBM will likely spend $50 billion over the next five years to repurchase stock. He then asks, "What should a long-term shareholder, such as Berkshire, cheer for during that period? We should wish for IBM's stock price to languish throughout the five years."[49]

In a world that is obsessed with short-term performance, wishing for a stock to underperform the market for a long time sounds backward, to say the least. But if one is truly a long-term investor, such thinking is actually quite rational. Buffett walks us through the math. "If IBM's stock price averages say $200, the company will acquire 250 million shares for its $50 billion. There would consequently be 910 million shares outstanding and we would own about 7% of the company. If the stock conversely sells for an average of $300 during the five-year period, IBM will acquire only 167 million shares. That would leave about 990 million shares outstanding after five years, of which we would own 6.5%."[50] The difference to Berkshire is significant. At the lower stock price, Berkshire would increase its share of earnings by $100 million, which five years down the road might mean an increase in value of $1.5 billion.

Tenet: Favorable Long-Term Prospects

Buffett confessed that he came late to the IBM party. Like Coca-Cola in 1988 and Burlington Northern Santa-Fe in 2006, he had been reading the annual reports for 50 years before his epiphany. It arrived, he said, one Saturday in March 2011. Quoting Thoreau, Buffett says, "It's not what you look at that matters; it's what you see." Buffett admitted to CNBC that he had been "hit between the eyes" by the competitive advantages IBM possesses in finding and keeping clients.[51]

The information technology (IT) services industry is a dynamic and global industry within the technology sector, and no one is bigger in this industry than IBM.[52] Information technology is an $800 billion plus market